



September 18, 2025

Vanessa Countryman
Secretary
U.S. Securities and Exchange Commission
100 F Street, NE
Washington, DC 20549-1090

Re: File No. 4-862

Dear Ms. Countryman:

Better Markets¹ appreciates the opportunity to comment on Regulation NMS, Rule 611 thereunder, and the market structure issues that have arisen since their adoption. Rule 611 and the other rules adopted as part of Reg NMS have caused the number of venues at which securities trade to proliferate, which has allowed high-frequency traders (HFTs), aided and abetted by stock exchanges, to “take advantage of latencies between these market centers.”² And HFTs do so at the expense of regular investors.³ In the era of electronic trading, our stock exchanges have evolved to the point where they no longer exist to “provide ‘fair and orderly markets’ for long-term investors” but instead to make money by selling data to HFTs, who use the data to essentially trade ahead of ordinary investors and make riskless profits.⁴ As the SEC explores Reg NMS and Rule 611 at its roundtable today, this is what the SEC must address.

Reg NMS and Rule 611 caused the number of exchanges to proliferate and allowed HFTs to take advantage of the time it takes to create the NBBO to profit at the expense of ordinary investors

Reg NMS and Rule 611 were well-intentioned. They sought to promote competition among exchanges and ensure that investors received execution at the best price on their securities trades.⁵ But by “mandating that orders must execute at the best available price regardless of which exchange that price is found at (i.e., if NYSE receives an order but the best available price

¹ Better Markets is a non-profit, non-partisan, and independent organization founded in the wake of the 2008 financial crisis to promote the public interest in the financial markets, support the financial reform of Wall Street, and make our financial system work for all Americans again. Better Markets works with allies—including many in finance—to promote pro-market, pro-business, and pro-growth policies that help build a stronger, safer financial system that protects and promotes Americans’ jobs, savings, retirements, and more.

² Etienne Mercuriali, *SEC tackles “market distortion”, “gamesmanship” with Rule 611 review*, Global Trading (July 22, 2025), <https://www.globaltrading.net/sec-tackles-market-distortion-gamesmanship-with-rule-611-review/> (quoting Joe Saluzzi, partner and co-founder at Themis Trading).

³ Jonathan R. Macey, *Securities Regulation and Class Warfare*, 2021 Colum. Bus. L. Rev. 796, 825-26, 828 (2022).

⁴ Jonathan Macey and David Swensen, *Recovering the Promise of the Orderly and Fair Stock Exchange*, 42 J. Corp. L. 777, 777-81 (2017).

⁵ Steven McNamara, *The Law and Ethics of High-Frequency Trading*, 17 Minn. J.L. Sci. & Tech. 71, 85 (2016).

is on NASDAQ, NYSE must route that order to NASDAQ),” Rule 611 meant that a “small exchange, so long as it has the best price, is guaranteed order flow.”⁶ Rule 611 thus led to market fragmentation “by offering small exchanges a market toe-hold.”⁷ HFTs take advantage of this market fragmentation by profiting from the time it takes to transfer quotes between exchanges.

The unintended consequence of Reg NMS and Rule 611 that led to the rise of HFTs is that they made speed a way to profit from trading securities. By prohibiting trades on one venue at a price less favorable than the price at another venue, Rule 611 meant that there needed to be a central processor (known as a securities information processor, or “SIP”) to “receive and collate the quotes from each exchange and then disseminate the best ones as the national best bid/offer (the NBBO) to the market at large.”⁸ Although the assumption was that this would take place nearly instantaneously, it “gradually became apparent” that the time it took to collect and collate quotes from the various exchanges and then disseminate the NBBO to the market mattered.⁹

HFTs take advantage of these timing gaps. The Commission allows exchanges to disseminate quotes to their customers at the same time as they send quotes to the SIP, but the quotes get from the exchanges to HFTs faster than the SIP can consolidate the quotes and disseminate an NBBO.¹⁰ So the development of high-speed transmission technology used by HFTs, and “the corresponding lack of technological development at the SIP,” means that by the time the SIP disseminates the NBBO to the market, the NBBO is “significantly stale.”¹¹

This means that, by obtaining quotes directly from the exchanges, HFTs figure out what the NBBO will be before it is disseminated to the market. This creates arbitrage opportunities for HFTs. HFTs profit when they post a quote “representing the NBO [national best offer] or NBB [national best bid] on one exchange, and subsequently someone else posts an even better quote on a second exchange, which the HFT learns of before it is reported by the national system.”¹² Arbitrage occurs when “prices change on one exchange and an HFT buys or sells at a better price on a second exchange before the second exchange has updated its information to reflect the new NBBO stock price.”¹³ In this way, the “toxic combination of trading the same security on multiple venues combined with a two-tier system with slow data being reported on the NBBO and better quotes existing outside of the exchanges’ reporting system creates the opportunity for exploitation by certain HFTs, which have in essence a ‘faster NBBO’ than the official NBBO.”¹⁴

⁶ Sue S. Guan, *Benchmark Competition*, 80 Md. L. Rev. 1, 18 n.70 (2020).

⁷ Hester Peirce, *Meeting Market Structure Challenges Where They Are*, 43 J. Corp. L. 335, 356 (2018).

⁸ Steven McNamara, *The Stock Exchange as Multi-Sided Platform and the Future of the National Market System*, 2018 B.Y.U. L. Rev. 969, 976 (2018).

⁹ *Id.* at 976-77.

¹⁰ McNamara, 17 Minn. J.L. Sci. & Tech. at 111-12.

¹¹ McNamara, 2018 B.Y.U. L. Rev. at 983-84.

¹² Merritt B. Fox, Lawrence R. Glosten, and Gabriel V. Rauterberg, *The New Stock Market: Sense and Nonsense*, 65 Duke L.J. 191, 238 (2015).

¹³ Julie St. John, *Slowing Down High Speed Trading: Why the SEC Should Allow a New Exchange a Chance to Compete*, 19 Tul. J. Tech. & Intell. Prop. 207, 211 (2016).

¹⁴ Macey and Swensen, 42 J. Corp. L. at 786.

Essentially, HFTs can “front-run” other orders.¹⁵ Their “timing advantage” allows them “to earn riskless profits at the expense of the general investing public.”¹⁶ HFTs “insert themselves between natural buyers and natural sellers, . . . generating riskless profits” despite doing no research and representing no constituencies other than themselves.¹⁷

Exchanges profit by allowing HFTs to calculate the real NBBO faster than the official NBBO

HFTs are able to execute this strategy because the exchanges facilitate it. The reason HFTs are able to calculate a real NBBO before the official NBBO is that the exchanges sell them products that allow them to do so. HFTs pay the exchanges fees for high-speed proprietary data feeds, fees for privileged access to market data, and fees for having their computers “co-located” in the exchanges’ data centers, all of which permit HFTs to trade ahead of ordinary investors.¹⁸

As mentioned above, the exchanges offer, and HFTs subscribe to, high-speed proprietary data feeds that reach traders faster than the SIP’s data.¹⁹ The fact that the SIP data “lags” behind the exchanges’ private data feeds creates opportunities for market participants such as HFTs who pay for the faster proprietary exchange data feeds.²⁰ So the exchanges are able to profit by selling their faster proprietary data feeds to the HFTs who are willing and able to pay for them.²¹

The exchanges also offer co-location—the opportunity for HFTs “to place their computer servers physically inside of the exchanges’ order execution centers so that their orders will arrive at the exchanges before the orders of other investors.”²² These collocated servers “facilitate a form of micro front-running.”²³ “Put simply, HFTs purchase the ability to see a trade occur and react to it before the majority of investors are even aware that the first trade occurred.”²⁴

The ability to sell these products to HFTs is enormously profitable for the exchanges. The exchanges “no longer derive a majority of their revenue from transaction-based fees.”²⁵ Instead, the sale of proprietary data feeds and co-location services are now “the most important aspect of their bottom lines.”²⁶ So they “operate under a business model that welcomes and caters to the

¹⁵ McNamara, 2018 B.Y.U. L. Rev. at 1027-28.

¹⁶ McNamara, 17 Minn. J.L. Sci. & Tech. at 108.

¹⁷ Macey and Swensen, 42 J. Corp. L. at 781; *see also, e.g.*, Charles R. Korsmo, *High-Frequency Trading: A Regulatory Strategy*, 48 U. Rich. L. Rev. 523, 565 (2014) (“The practice is nonetheless arguably unfair to retail investors. Again, only market participants with the wealth and sophistication required to pay for, receive, and process the data feeds in real time will be able to take advantage of such feeds. These traders—HFTs in particular—can gain still more of a speed advantage, receiving information, in a practical manner, before that information is available to the public.”).

¹⁸ Macey and Swensen, 42 J. Corp. L. at 786.

¹⁹ Paul G. Mahoney, *Equity Market Structure Regulation: Time to Start Over*, 10 Mich. Bus. & Entrepreneurial L. Rev. 1, 22 (2020).

²⁰ Peirce, 43 J. Corp. L. at 357.

²¹ *Id.*

²² Macey and Swensen, 42 J. Corp. L. at 786.

²³ *Id.*

²⁴ *Id.*

²⁵ Alexander Abedine, *The Symbiosis of High Frequency Trades and Stock Exchanges: A Macro Perspective*, 14 N.Y.U. J.L. & Bus. 595, 622 (2018).

²⁶ *Id.*

interests of HFTs.”²⁷ “In the fight for market share, the exchanges appear to have colluded with their best customers to allow them to profit at the expense of their slower, less important ones.”²⁸

The Commission should implement a central limit order book

Reg NMS and Rule 611 have therefore created a system where HFTs and exchanges profit at the expense of ordinary investors. The Commission cannot revise Reg NMS or Rule 611 without addressing this system. Eliminating Rule 611 would allow investors for whom quantity mattered more than price to make “the purchase of a large block of shares at a higher price than the best offer (or sale at a lower price than the best bid).”²⁹ But it would leave investors who prioritize price unprotected. And it would leave HFTs free to continue front-running orders and leave exchanges with the incentive to help them to do so. So instead of focusing solely on Rule 611 or trade-through prohibitions, the Commission must reform the way exchanges work.

The problem is that while exchanges used to be “run as not-for-profit utilities,” they are now for-profit corporations that exist to make money,³⁰ and they can make the most money by aiding and abetting HFTs. Exchanges used to serve investors who wanted to “purchase and sell securities for investment purposes to take advantage of fundamental research into a company or to engage in portfolio management.”³¹ But now they serve HFTs, who “purchase and sell on the basis of unfair information or unfair advantages regarding what *other traders* intend to do in the future, and therefore subtract value from markets by extracting parasitic profits.”³²

So what can be done? The Commission should implement a central limit order book (“CLOB”).³³ Although the exchanges have expressed “vociferous opposition” to a CLOB because they view it as a precursor to their elimination,³⁴ “an updated proposal should not abolish the individual exchanges but should instead develop a routing service” that leaves the exchanges intact.³⁵ A CLOB, “if it were used for all securities trading, could create the near equivalent in the securities industry to what economists call ‘perfect competition.’”³⁶ As a result, the SEC should finally implement a CLOB if it is serious about enacting reforms that serve investors well.

- A CLOB would eliminate the need to collect and collate quotes and form an NBBO. Instead, a “routing service would collect the entire book of quotes in each stock from the various exchanges” and compile them into a “national consolidated order book.”³⁷

²⁷ Macey and Swensen, 42 J. Corp. L. at 786.

²⁸ McNamara, 2018 B.Y.U. L. Rev. at 1013-14.

²⁹ Macey and Swensen, 42 J. Corp. L. at 784.

³⁰ *Id.* at 778, 780.

³¹ *Id.* at 778.

³² *Id.* (emphasis in original).

³³ McNamara, 2018 B.Y.U. L. Rev. at 1022-23.

³⁴ *Id.* at 1025.

³⁵ *Id.*

³⁶ Joel Seligman, *Payment for Order Flow and the Great Missed Opportunity*, 18 Hastings Bus. L.J. 3, 14 (2021).

³⁷ McNamara, 2018 B.Y.U. L. Rev. at 1023

This “system-wide order book would be made available to traders,” and orders would be executed “on the basis of the consolidated order book”; “when a preexisting quote was hit, it would be sent back to the hosting exchange for processing.”³⁸

- A central routing service would therefore “function as the single determinative node in the system.”³⁹ This would eliminate the problems that arise from fragmentation.⁴⁰ It would also, “by definition, do away with the need for” Rule 611.⁴¹
- “Along with the implementation of a single routing service would come a single source of trading information. Since the information presented by the virtual CLOB would be the single source of determinative information on stock quotes, there would be no need for a separate SIP. . . . With a central routing service offering a national order book, the problem of stale quotes and the NBBO would vanish.”⁴²
- A CLOB would thus eliminate arbitrage activity generated by the timing gaps between the exchanges. Although it would not eliminate all arbitrage, “arbitrage solely between different American stock markets would be eliminated.”⁴³
- Exchanges would no longer need to cater to HFTs or have an incentive to maximize profits through the sale of proprietary data feeds and co-location services to HFTs.

The Commission exists to protect investors. But it has allowed our markets to evolve in a way that lets HFTs profit at ordinary investors’ expense. And exchanges help HFTs implement their strategies because by doing so they can profit along with the HFTs. So the Commission must adopt reforms that eliminate the advantages HFTs have over ordinary investors and the incentives exchanges have to prioritize the interests of HFTs. A central limit order book is one such reform because a “single location for trading an individual stock” would “eliminate the fragmentation and complexity that interfere with the effective operation of today’s markets” and cause long-term investors to “benefit from deeper, fairer, more transparent markets.”⁴⁴

The policy choice for the SEC and Congress can be stated simply. Does the United States seek one securities market system in which all trade is on an equal footing, whether they be individual retail investors, institutional investors, or dark pools, or are we willing to tolerate a superior market for insiders and privileged traders and a second-best market for retail investors? If we seek one market, this best can be achieved through a systemwide automatic execution system and CLOB.⁴⁵

³⁸ *Id.*; see also Seligman, 18 Hastings Bus. L.J. at 14 (“For investors this would mean that all bids and offers in the computer system could interact, with best bid always able to meet best offer, and with the greatest possible competition among marketmakers.”).

³⁹ McNamara, 2018 B.Y.U. L. Rev. at 1023.

⁴⁰ *Id.*

⁴¹ *Id.*

⁴² *Id.* at 1027.

⁴³ *Id.* at 1028.

⁴⁴ Macey and Swensen, 42 J. Corp. L. at 791.

⁴⁵ Seligman, 18 Hastings Bus. L.J. at 26.

Conclusion

We hope these comments are helpful as the Commission considers this matter.

Sincerely,

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